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Do no harm

Set a high bar for coercion

> *Dullness in matters of government is a good sign and not a bad one. In particular, dullness in parliamentary government is a test of its excellence, an indication of its success.*
>
> Walter Bagehot

We do not understand the world enough, and every intervention will work out poorly compared with what was originally envisaged. Hence, we should be very cautious before we set out to coerce private persons.

There is now an increasing recognition in India of the need to be cautious about spending public money. It is now well understood that the public expenditure process results in the wastage of most of the resources that go in. It makes more sense to first demand that an expenditure programme successfully addresses market failure, before committing large sums of money into it. In similar fashion, we should become stingy in the use of coercion. Before a government official or agency is given powers to investigate or punish, there must be a high assurance that there are checks and balances, rule of law, and state capacity. More intrusive powers of investigations, and larger punishments, should be written into laws only after ascertaining that less intrusive powers and smaller punishments are being wielded well.

In India, too many people are ready to propose that the state mandate something. One part of the excessive willingness to coerce comes from the public policy establishment. For example, we are not able to get business